www.tntextbooks.in

Date	Particulars		Debit `	Credit `
December 31	Depreciation A/c	Dr.	10,500	
	To Machinery A/c			10,500
	(Depreciation provided)			
December 31	Profit and Loss A/c Dr.	Dr.	10,500	
	To Depreciation A/c			10,500
	(Depreciation transferred to profit and loss account)			
2017 December 31	Depreciation A/c	Dr.	10,500	
	To Machinery A/c			10,500
	(Depreciation provided)			
December 31	Profit and Loss A/c	Dr.	10,500	
	To Depreciation A/c			10,500
	(Depreciation transferred to profit and loss account)			

Illustration 7

Ramu Brothers purchased a machine on 1st July 2016 at a cost of ` 14,000 and spent ` 1,000 on its installation. The firm writes off depreciation at 10% of original cost every year. The books are closed on 31st December every year. Give journal entries and prepare machinery account and depreciation account for 2 years.

Solution

Note: Cost of the asset = Purchase price + Installation cost

= 14,000 + 1,000 = ` 15,000

Journal entries

Date	Particulars		Debit `	Credit `
2016 July 1	Machinery A/c	Dr.	14,000	
	To Bank A/c			14,000
	(Machinery bought)			
July 1	Machinery A/c	Dr.	1,000	
	To Bank A/c			1,000
	(Installation expenses on machinery incurred)			
December 31	Depreciation A/c	Dr.	750	
	To Machinery A/c			750
	(15,000 × 10/100 × 6/12)			
	(Depreciation provided)			